

Product Management for Growth and Innovation

Team Project

SUDHA DAIRY (COMFED)

(Industry Interview-Based Analytical Report)

Submitted By :-

Learning Team 3
Madhvendra Mallick (25PGDM147)

Manish Singh (25PGDM149)

Arpit Agarwal (25PGDM126)

Harsh Pratap Singh (25PGDM145)

Shruti Aggarwal (25PGDM163)

Samriddhi Maurya (25PGDM158)

Submitted To :-

Dr. Karan Grover

Executive Summary

This report examines product management at Sudha Dairy (COMFED) through a primary interview with a Business Head. The study focuses on how a dairy organisation identifies product opportunities, develops and tests products, evaluates product-market fit, manages distribution and decides when a product should be rationalised.

The interview shows that Sudha begins with the consumer and market rather than with the question of what it can manufacture. The team considers consumer demand, competitor offerings and lifestyle changes, particularly around health, convenience, nutrition and portion sizes. Existing categories are also reviewed for opportunities through formulation, pack size or positioning. A product idea is taken forward only when operational and financial feasibility also make sense.

The new product process is staged. It moves from idea generation and market evaluation to technical feasibility, product trials, costing and pricing, quality and regulatory checks, and management approval. A controlled market launch is preferred before wider scale-up so that the organisation can test whether its assumptions about demand, price, quality and distribution hold in the market.

Product-market fit is not judged by an early sales spike. The interviewee highlighted consumer acceptance, repeat purchase and commercial performance. Commercial performance needs to be considered after production, packaging, logistics, trade margins and wastage. This is especially relevant in dairy because high sales can coexist with high spoilage or poor contribution.

Distribution is a major part of the product experience. Chilled products depend on time, temperature, forecasting and stock rotation, while shelf-stable products provide greater flexibility in shipment and inventory positioning. Through Porter's Value Chain, the report identifies outbound logistics as an important source of value because cold-chain execution affects quality and availability.

Pricing is influenced by the price elasticity of demand for daily dairy essentials. During inflation, consumers may become more careful about pack size, frequency and premium choices. The interview suggests that Sudha looks at cost efficiency as well as price increases. The cooperative structure also means that the wider value equation includes milk producers, processing units, distributors, retailers and consumers.

For discontinuation, the interviewee did not support one universal percentage decline as a trigger. Persistent sales decline, lower repeat demand, increasing returns or spoilage, falling contribution, promotional dependence and stronger substitutes should be considered together. Management should first check whether the problem is product obsolescence or a fixable issue in price, packaging, distribution or positioning.

The future direction is to strengthen the core milk business while increasing value-added dairy products such as dahi, paneer, ghee, beverages, ice cream and sweets. Processing and packaging infrastructure can expand the range of products that can be developed and scaled.

The report recommends better demand forecasting, digital trade feedback, a product health scorecard, statistical monitoring of spoilage variation and controlled testing of health-oriented propositions.

Overall, the interview presents product management at Sudha as a practical cross-functional activity. Consumer understanding, product development, quality, economics, supply chain and portfolio decisions have to work together for a product to succeed.

Report Structure

The report follows the product journey: opportunity identification → development → testing → product-market fit → pricing → go-to-market → performance feedback → lifecycle management → growth and recommendations.

Contents

Executive Summary 2

Report Structure 3

1. Research Methodology 7

1.1 Research Design 7

1.2 Primary Research 7

1.3 Analysis 7

1.4 Source Discipline 7

1.5 Limitation 7

2. Sudha Dairy and the Product Context 7

2.1 Why Dairy Is Different 7

2.2 Cooperative Dimension 8

3. Problem Framing and Market Opportunity 8

3.1 Consumer and Competition 8

3.2 Portfolio Extension 8

3.3 Feasibility 8

3.4 Product Management Interpretation 8

4. New Product Development Process 8

4.1 Why the Sequence Matters 9

4.2 Controlled Launch 9

5. Product Testing and Product-Market Fit 9

5.1 Market Test Signals 9

5.2 PMF 10

5.3 Interpretation 10

6. Pricing, Inflation and Commercial Viability 10

6.1 Inflation and Price Elasticity 10

6.2 Cost-Side Response 10

6.3 Cooperative Value Equation 10

7. Go-To-Market Strategy and Porter's Value Chain 10

7.1 Porter's Value Chain 11

7.2 Chilled Products 11

7.3 Shelf-Stable Products 11
7.4 GTM Principle 11
8. Performance Monitoring, Statistical Thinking and Feedback 11
8.1 From Average to Variation 11
8.2 Important Qualification 12
8.3 Primary and Secondary Sales 12
8.4 Availability 12
9. Customer Feedback and Product Improvement 12
9.1 Feedback Loop 12
9.2 Why This Matters 12
10. Product Lifecycle and Discontinuation 12
10.1 Signs of Decline 12
10.2 Avoiding a Wrong Diagnosis 13
10.3 Portfolio Transition 13
11. Future Strategy, Growth and Innovation 13
11.1 Strategic Priorities 13
11.2 Value-Added Opportunity 13
11.3 Ansoff Matrix 14
11.4 Infrastructure as an Innovation Enabler 14
12. Managerial Recommendations 14
12.1 Improve Demand Forecasting 14
12.2 Test a Health-Oriented Proposition 14
12.3 Digitise Trade Feedback 14
12.4 Introduce a Product Health Scorecard 14
12.5 Use Statistical Spoilage Alerts 14
12.6 Add a Distribution Readiness Gate 15
13. Key Findings 15
13.1 Overall Interpretation 15
13.2 Central Learning 15
14. Conclusion and Limitations 15
14.1 Conclusion 15
14.2 Limitations 16

15. References and Primary Research Appendix.....16

15.1 Primary Source.....16

15.2 Frameworks Used 16

15.3 Interview Coverage 16

16. AI Usage Declaration 17

17. References 18

1. Research Methodology

1.1 Research Design

A qualitative, interview-based design was used. The objective was to understand managerial decision-making rather than estimate market parameters statistically.

1.2 Primary Research

The primary source was a structured interview with a Business Head at Sudha Dairy. The questionnaire contained 20 questions across five areas: NPD and innovation, PMF, GTM, discontinuation, and future strategy.

1.3 Analysis

1. Interview responses were grouped according to the product lifecycle.
2. Repeated themes were identified, including consumer need, feasibility, quality, cost, repeat purchase, availability and wastage.
3. Relevant product-management frameworks were used to interpret the findings.
4. Recommendations were separated from statements describing current practice.

1.4 Source Discipline

No internal sales figures, confidential margins or specific discontinued SKU have been invented where the interview did not provide them. The statistical discussion later in the report is presented as a recommended analytical approach, not as a claim about an existing internal system.

1.5 Limitation

The findings represent one managerial perspective. They provide depth into the interviewee's experience but should not be treated as a complete representation of every department within COMFED.

2. Sudha Dairy and the Product Context

Sudha Dairy operates under the Bihar State Milk Co-operative Federation (COMFED). The cooperative setting matters because product decisions are connected with milk procurement and the wider farmer ecosystem.

The interview refers to milk as the foundation of the business and identifies value-added categories such as dahi, paneer, ghee, beverages, ice cream and sweets as important growth areas. Dahi variants mentioned in the interview include Fitness Curd, Lite Dahi, Smart Dahi, Plain Dahi and Premium Dahi.

2.1 Why Dairy Is Different

1. Many products have short shelf lives.

2. Chilled categories require controlled storage and transport.
3. Excess stock can become returns or spoilage.
4. Stock-outs can immediately affect purchase conversion.
5. Affordability matters because dairy is a regular-consumption category.
6. Product decisions affect milk utilization and the cooperative system.

2.2 Cooperative Dimension

"A successful new product should ideally create additional value from the milk being procured from our farmer network."

This makes product development broader than a consumer proposition alone. The organisation also needs to consider how the product uses milk and production capacity.

3. Problem Framing and Market Opportunity

"For us, identifying a market gap starts with understanding the consumer and the market rather than simply asking, 'What new product can we make?'"

The interview suggests that opportunity identification is based on a combination of consumer demand, competition, portfolio fit, operational feasibility and financial viability.

3.1 Consumer and Competition

The team looks at what consumers ask for, what they buy from competitors and what requirements are not being served properly. Changes in lifestyle also matter, particularly health, convenience, nutrition and portion size.

3.2 Portfolio Extension

A new opportunity does not always require a completely new category. An existing category can be extended through formulation, pack size or positioning for a different consumer segment.

3.3 Feasibility

Demand is only the first filter. Raw material availability, processing requirements, packaging and cold-chain costs can change whether a product is commercially sensible.

3.4 Product Management Interpretation

The practical definition of a market gap is therefore not simply a missing product. It is a consumer problem for which Sudha can build and deliver a viable solution.

4. New Product Development Process

The interview describes product development as a sequence of decisions. It resembles a practical stage-gate process because the product is evaluated at several points before scale.

Stage	Practical focus
1. Idea generation	Consumers, trends, retailers, competitors and internal teams.
2. Market evaluation	Demand, target consumer, price expectations, competition and differentiation.
3. Technical feasibility	Technology, raw materials and production consistency.
4. Product trials	Taste, texture, nutritional characteristics and stability.
5. Costing & pricing	Raw material, packaging, processing, distribution, trade margin and consumer price.
6. Quality & regulatory checks	Food safety, quality and relevant requirements.
7. Approval & launch	Controlled market launch, monitoring and scale-up.

4.1 Why the Sequence Matters

A product can be attractive in the market but difficult to manufacture. It can also be technically strong but commercially weak. The staged process gives management a chance to identify these issues before committing to a larger rollout.

4.2 Controlled Launch

The interviewee described a limited-market or controlled launch as a way of checking the original assumptions. Early market evidence can then guide the decision to scale, modify or stop.

5. Product Testing and Product-Market Fit

Testing does not end with formulation. Technical consistency, sensory quality and shelf life are checked before wider market exposure. In dairy, storage conditions are particularly important.

5.1 Market Test Signals

1. Consumer acceptance
2. Repeat purchases
3. Sales velocity
4. Complaints
5. Returns
6. Spoilage
7. Retailer response
8. Distribution difficulties

5.2 PMF

"Sales in the first few days are not enough to call a product successful."

The interviewee's approach to PMF has three levels. First, consumers must buy the product. Second, they should purchase it again. Third, the product should generate acceptable contribution after considering production, packaging, logistics, trade margins and wastage.

5.3 Interpretation

This separates trial from sustainable demand. Initial sales show that the product can attract attention. Repeat purchase provides stronger evidence of perceived value. Commercial contribution checks whether that demand can support the business.

6. Pricing, Inflation and Commercial Viability

Pricing at Sudha has to balance affordability and business sustainability. The interviewee described this as one of the difficult parts of dairy management.

6.1 Inflation and Price Elasticity

Dairy is a daily-consumption category, so price elasticity of demand matters. Essential milk demand may be more stable than demand for premium products, but consumers can still respond to price increases through pack-size changes, reduced frequency or switching between product choices.

During inflation, the organisation therefore looks at pack sizes, pricing architecture and product positioning rather than automatically passing every cost increase to consumers.

6.2 Cost-Side Response

The interview points to procurement efficiency, processing efficiency, packaging, transportation, wastage and distribution as areas where costs can be managed. This makes pricing partly a product-design decision and partly an operational decision.

6.3 Cooperative Value Equation

The product economics involve more than consumer price and company margin. The system includes farmers, processing units, distributors, retailers and consumers. Maintaining this balance is part of the commercial challenge.

7. Go-To-Market Strategy and Porter's Value Chain

Distribution planning starts before launch. The team identifies the target market and then considers the appropriate channel, product shelf life and temperature requirements.

7.1 Porter's Value Chain

Porter's Value Chain provides a useful way to understand the interview. Inbound logistics relate to milk procurement; operations convert milk into finished products; outbound logistics move those products into the market; marketing and sales create demand; and service and feedback support improvement.

For chilled dairy, outbound logistics are particularly important. If transportation is delayed or temperature conditions are not maintained, quality and shelf life can be affected. Availability can also suffer. In that sense, distribution contributes directly to customer value rather than acting only as a back-end activity.

7.2 Chilled Products

Fresh milk, dahi and paneer-type products require the cold chain to work from plant to distributor to retailer. Forecasting is important because excessive inventory cannot simply be held as a long-term buffer.

7.3 Shelf-Stable Products

For biscuits, sweets and other products that do not require refrigeration, longer routes and larger shipments are more practical. Inventory ageing, packaging and moisture protection become more important.

7.4 GTM Principle

The physical nature of the product influences the route to market. For chilled products, speed and temperature dominate. For shelf-stable products, inventory management and market reach become relatively more important.

8. Performance Monitoring, Statistical Thinking and Feedback

The interview identifies daily sales volume, sales value, sales by product and geography, primary and secondary sales, distributor stock, retailer movement, repeat demand, returns, spoilage, availability and complaints as useful indicators.

8.1 From Average to Variation

For spoilage, an average alone may not reveal an operational problem. A useful management approach would be to calculate the mean daily spoilage rate and its standard deviation over a rolling period. Normal fluctuations can then be separated from unusually large deviations.

For example, if spoilage normally remains within a stable range but suddenly rises several standard deviations above the recent mean, the team has a reason to investigate. Possible causes could include a forecasting error, route delay, temperature-control issue or poor stock rotation.

8.2 Important Qualification

This statistical treatment is a recommendation based on the interview's emphasis on spoilage and returns. It is not presented as evidence that Sudha currently uses a specific statistical process-control system.

8.3 Primary and Secondary Sales

Primary sales show what distributors purchase, while secondary sales show movement through retailers. Looking at both helps avoid mistaking distributor stocking for genuine consumer demand.

8.4 Availability

The interviewee highlighted availability because a consumer may switch when the desired product is not present. Availability is therefore part of the product experience.

9. Customer Feedback and Product Improvement

Feedback reaches Sudha through retailers, distributors, customer complaints, customer support, market visits and direct consumer interactions. Sales behaviour is also treated as feedback.

"Sometimes customers don't tell us that they dislike a product - they simply stop buying it."

The interview groups feedback around taste, packaging, price, availability, quality, shelf life and convenience. These issues can sit across different functions. For example, a packaging problem can be a product issue, while a shelf-life problem during transportation may also be an operations issue.

9.1 Feedback Loop

A practical feedback loop is: observe the market → classify the issue → identify the responsible function → make the change → monitor whether the issue improves.

9.2 Why This Matters

The product team should not depend only on formal surveys. Actual purchase behaviour and retailer movement can reveal problems that consumers do not report directly.

10. Product Lifecycle and Discontinuation

Product rationalisation is a normal part of portfolio management. The interviewee emphasised that there is rarely one single indicator of obsolescence.

10.1 Signs of Decline

1. Persistent fall in sales.

2. Lower repeat purchase and slower retailer replenishment.
3. Increasing returns or spoilage.
4. Falling retailer interest.
5. Declining contribution.
6. Greater promotional dependence.
7. Better-performing alternatives.
8. Changing consumer preferences.

10.2 Avoiding a Wrong Diagnosis

Before discontinuation, management should ask whether the product itself is obsolete or whether the problem lies in price, packaging, distribution or positioning.

"I would not recommend having one universal percentage such as 'sales fall by 20%, therefore discontinue.'"

Different products have different life cycles. A core essential product, a niche product and a seasonal product cannot be judged by the same benchmark.

10.3 Portfolio Transition

"Discontinuation should be managed as a portfolio transition, not simply as 'stop making this product tomorrow.'"

When a product is rationalised, milk and production capacity can be redirected toward other products based on demand. Distributors and retailers can be informed in advance so that remaining stock is handled without unnecessary downstream accumulation.

11. Future Strategy, Growth and Innovation

The interview describes a balanced direction: strengthen the core milk business while increasing the role of value-added dairy.

11.1 Strategic Priorities

1. Strengthen the core milk business.
2. Increase value-added product penetration.
3. Expand into new markets.
4. Improve quality and consistency.
5. Strengthen processing and distribution capabilities.

11.2 Value-Added Opportunity

Dahi, paneer, ghee, beverages, ice cream and sweets are identified as important areas. The opportunity is not simply to add SKUs; products should respond to changing expectations around convenience, nutrition, trust and affordability.

11.3 Ansoff Matrix

The interview aligns most closely with product development and market development. Product development comes from expanding value-added offerings. Market development comes from taking suitable products into new geographic markets after testing.

11.4 Infrastructure as an Innovation Enabler

Processing and packaging capabilities can change the practical range of products that Sudha can develop. Better infrastructure can support different formulations, pack sizes, shelf lives and volumes. It therefore affects both capacity and innovation flexibility.

12. Managerial Recommendations

The recommendations below are the report team's analysis based on the interview. They are not presented as confirmed existing Sudha initiatives.

12.1 Improve Demand Forecasting

Combine historical sales with seasonality, weather, festivals, weekends and local events. The main objective should be to reduce both stock-outs and avoidable spoilage.

12.2 Test a Health-Oriented Proposition

Given the interview's emphasis on health and nutrition, Sudha could test a focused high-protein or nutrition-oriented dairy proposition through selected markets. Success should be judged on taste, price acceptance, repeat purchase, availability and contribution.

12.3 Digitise Trade Feedback

A simple B2B interface could allow retailers and distributors to report stock levels, packaging issues, quality observations, returns and local demand. This would shorten the time between a market issue and corrective action.

12.4 Introduce a Product Health Scorecard

A portfolio review can combine demand trend, repeat purchase, contribution, availability, returns, spoilage, promotional dependence and distribution complexity. Benchmarks should vary by product category and lifecycle stage.

12.5 Use Statistical Spoilage Alerts

For selected chilled categories, a rolling mean and standard deviation can be used to flag unusual spoilage variation. A sudden deviation can trigger checks on forecasting, route performance, temperature conditions and stock rotation.

12.6 Add a Distribution Readiness Gate

Before scaling a chilled product, target markets should be checked for storage and delivery capability. This links product approval with GTM readiness.

13. Key Findings

Area	Finding
Opportunity	Consumer need, competition, portfolio fit, feasibility and cooperative value are considered together.
NPD	The process moves through market, technical, trial, costing, quality and launch stages.
PMF	Repeat purchase and contribution are stronger signals than early sales alone.
GTM	Shelf life and temperature requirements strongly shape distribution.
Lifecycle	Discontinuation is based on multiple trends and diagnosis of the cause.
Growth	Core milk strength and value-added expansion are both important.

13.1 Overall Interpretation

The interview presents product management as a cross-functional activity. Marketing identifies opportunities, technical teams develop and test products, commercial teams assess economics, quality protects standards and supply-chain teams determine whether the product can reach the consumer in good condition.

13.2 Central Learning

The strongest learning is that the supply chain is part of the product in dairy. Availability, freshness, shelf life, price and repeat value all influence whether the product succeeds.

14. Conclusion and Limitations

14.1 Conclusion

The interview provides a practical picture of product management at Sudha Dairy. Consumer and market understanding starts the process, but an opportunity must also pass technical, quality, cost and distribution checks before it can be scaled.

Product-market fit is treated as sustained behaviour rather than a short-term sales spike. Repeat purchase, contribution, availability, returns and spoilage provide a more realistic view of

product performance. This is especially relevant to dairy because forecasting and distribution errors can appear quickly in the form of stock-outs or wastage.

Porter's Value Chain also helps explain why outbound logistics is strategically important. Cold-chain execution affects both the quality delivered to the consumer and the ability to convert demand into sales.

For future growth, the interview points toward value-added categories, wider market reach, stronger infrastructure and better feedback systems. The opportunity is not simply to add products but to build propositions that fit consumer needs and can be delivered consistently and economically.

14.2 Limitations

1. The study is based on one managerial interview.
2. No confidential internal sales or profitability figures were available.
3. No specific discontinued SKU was named because the interviewee did not provide an officially documented example.
4. The statistical discussion is a proposed analytical method, not a confirmed internal practice.
5. Recommendations are proposals, not confirmed company plans.

15. References and Primary Research Appendix

15.1 Primary Source

Business Head, Sudha Dairy. Structured Interview Questionnaire and Responses, provided for the Product Management for Growth & Innovation study.

Sudha Dairy (COMFED): Product Management Analytical Report, supplied as the base report for refinement.

15.2 Frameworks Used

Porter, M. E. Value Chain framework - used to interpret the relationship between operations, outbound logistics, marketing and value delivery.

Ansoff Matrix - used to interpret product development and market development opportunities.

Stage-Gate / staged new product development concept - used to organise the sequence described by the interviewee.

15.3 Interview Coverage

Q1-Q5: New Product Development & Innovation | Q6-Q9: Product-Market Fit | Q10-Q13: Go-To-Market | Q14-Q17: Discontinuation | Q18-Q20: Future Strategy.

16. AI Usage Declaration

Generative AI was used as a support tool during report preparation. Its role was limited to organising the interview material, improving structure and readability, refining language, connecting interview findings with relevant academic frameworks, and preparing a submission-ready format. The primary interview responses remained the source for company-specific analysis.

AI was not used to fabricate interview responses, confidential company data, internal sales figures or discontinued SKU examples. Where the interview did not provide a specific figure or example, the report deliberately avoids creating one.

17. References

Ansoff, H. I. (1957). Strategies for diversification. *Harvard Business Review, 35*(5), 113–124.

Cooper, R. G. (1990). Stage-gate systems: A new tool for managing new products. *Business Horizons, 33*(3), 44–54. https://doi.org/10.1016/0007-6813(90)90040-I

Porter, M. E. (1985). *Competitive advantage: Creating and sustaining superior performance*. Free Press.

Primary Research :

Business Head, Sudha Dairy. (2026). *Structured interview on product management, new product development, product-market fit, go-to-market strategy, product discontinuation, and future growth*.